CHAPTER

5

Monetary Economics

Inflation is taxation without legislation.

-Milton Friedman

Learning Objectives

1. To understand the evolution of money, types, functions, meaning of inflation, types, causes, effects of inflation and measures to control.
2. To know the various phases of trade cycle.

5.1 Introduction

Monetary Economics is a branch of economics that provides a framework for analyzing money and its functions as a medium of exchange, store of value and unit of account. It examines the effects of monetary systems including regulation of money and associated financial institutions.

5.2 Money

5.2.1 Meaning

Money is anything that is generally accepted as payment for goods and services and repayment of debts and that serves as a medium of exchange. A medium of exchange is anything that is widely accepted as a means of payments. In recent years, the importance of credit has increased in all the countries of the world. Credit instruments are used on an extensive scale. The use of cheques, bills of exchange, etc. has gone up. It should however, be remembered that money is the basis of credit.



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